

Employee Salary Calculation Rules

Period: 1 April 2026 – 31 July 2026

This document defines how each employee's monthly salary is calculated from their base salary, the holidays they take, and the total minutes they arrive late. It also defines the July salary increment. The rules apply month by month for April, May, June and July 2026.

Inputs Used

Base salary — each employee's monthly base salary as on 1 April 2026.

Holidays — the number of personal leave days the employee takes, counted per week-part so each day falls in the correct calendar month. Sundays are the weekly off and are never counted as personal holidays.

Total late minutes — the employee's actual late minutes for the month: the per-day late on each commuting day, summed across the month. Per-day late must include bus pickup queue penalty and bus drop queue penalty.

Calendar Days per Month

April	May	June	July
30	31	30	31

The Rules

Rule 1. Holiday deduction. For each holiday taken in a month, one day's salary is deducted, where one day's salary is the base salary divided by the number of calendar days in that month.

Holiday deduction = (Base salary ÷ Calendar days in month) × Holidays taken that month

Salary after holiday deduction = Base salary – Holiday deduction

Rule 2. Late-minutes deduction for April. Divide the total late minutes for April by 50; the result is the deduction percentage. That percentage is deducted from the salary that is left after the holiday deduction.

Late % (April) = Total April late minutes ÷ 50

April late deduction = (Salary after holiday deduction) × Late % ÷ 100

Rule 3. Late-minutes deduction for May, June and July. Same as April — total late minutes ÷ 50 gives the percentage, deducted from the salary left after the holiday deduction. In addition, compare this month's late minutes with the previous month's:

- If late minutes INCREASED from the previous month → add a further 5% to the deduction percentage.
- If late minutes DECREASED or stayed the SAME → no further deduction.

Late % (May onward) = (Total late minutes ÷ 50) + 5 (only if this month > previous month)

Rule 4. Maximum late deduction. The late-minutes deduction percentage is capped at 100% in every month (including the extra 5% step-up). It can never exceed 100% of the salary remaining after the holiday deduction.

Rule 5. Net (paid) salary. The salary the employee actually receives in a month:

$$\text{Net salary} = \text{Base} - \text{Holiday deduction} - \text{Late deduction}$$

July Increment (Rule 6)

An increment is announced on 1 July and is added to the base salary. It is the sum of three parts, each equal to 5% of an average net salary, where *net salary* means the final salary an employee receives after both the holiday and late-minute deductions.

- 5% of the employee's own average net salary across April, May and June.
- 5% of the average (April–June) net salary of all employees at the next distinct age ABOVE the employee's age that is present in the company.
- 5% of the average (April–June) net salary of all employees at the next distinct age BELOW the employee's age that is present in the company.

$$\text{July increment} = 5\% \times (\text{own avg net}) + 5\% \times (\text{avg net of next-higher age group}) + 5\% \times (\text{avg net of next-lower age group})$$

Notes on the age groups:

- “Next distinct age” means the nearest age value that actually exists in the company — e.g. for an employee aged 30, the next age above is the lowest existing age greater than 30, and the next age below is the highest existing age less than 30.
- If an employee is the youngest in the company there is no age below, and if the oldest there is no age above; that part of the increment is simply 0.

$$\text{New base salary (July)} = \text{Old base salary} + \text{July increment}$$

July's holiday and late deductions are then applied on this new, higher base.

Order of Calculation

Because the July increment depends on the April–June net salaries, the months are computed in this order:

- 1) Compute April, May and June net salaries for every employee, using the original base salary and Rules 1–5.
- 2) Compute each employee's average net salary across April, May and June.
- 3) Compute the July increment (Rule 6) from those averages and add it to the base salary to get the new July base.
- 4) Compute July's net salary on the new base, applying July's own holiday and late deductions (with the step-up compared against June's late minutes).